

PAINT POWER

- 1 Berger Paints is the second-largest player with a 21% share; its strongest markets are North and East
- 2 The company was established in 1923 and after multiple changes in ownership was acquired by the Dhingra family in 1991
- 3 The Indian paints industry is \$9 billion in size, with a 70:30 split between decorative and industrial
- 4 New entrant Birla Opus comes with deep pockets and a cement business that has a strong distribution network
- 5 Berger Paints is looking at construction chemicals and waterproofing as strong revenue drivers

sit on any surface,” says Roy. A combination of a grip primer, a heat reflecting coating with an anti-dust layer to maintain the efficacy of the coating led to the breakthrough—the just-launched Berger Paints’ Tank Kool. Given that large parts of the country are hot for long periods, the product can sell across markets.

Roy, sitting in his new office in Kolkata’s New Town, is visibly kicked. The eight-storey building

has been built to commemorate the company’s 100th anniversary. In fact, a museum on the ground floor encapsulates the journey of a company that set up shop in India in 1923, changed hands several times before it came to the UB Group, then owned by Vijay Mallya. In 1991, the businessman, known for his repertoire of liquor brands, sold Berger to Kuldip Singh Dhingra and Gurbachan Singh Dhingra, brothers from Amritsar,

when its revenue was ₹100 crore. Today, it is a ₹11,300 crore company with a 21% market share, the second-largest after Asian Paints. Over the last few years, it has positioned itself as a solutions company (one big moment that led to this was the launch of the Express Painting service in 2014). “We solve your problems, and we also paint,” says Roy. It has also moved into construction chemicals and water proofing.

The \$9 billion Indian paints market is at an inflection point where decades of dominance by the two biggest players—Asian Paints and Berger together hold 75% market share in the organised segment—is being challenged by some of the country’s biggest conglomerates. The most prominent is the Aditya Birla Group’s brand Birla Opus. JSW Paints also has big plans to challenge the status quo. So has Pidilite, the owner of the Fevicol brand. Can Berger then maintain its hold in the face of the challenges by the corporate biggies?

PAINTING THE PICTURE

The paints industry is split 70:30 between the decorative and industrial segments.

Last February, Grasim Industries, part of the Aditya Birla Group, made its debut in decorative paints with Birla Opus. Analysts are calling the launch of the brand, with a wide range of products and a sizeable capex outlay of ₹10,000 crore, as disruptive for the sector. Berger will have to up its game as the threat of losing market share looms, they say.

An unfazed Roy goes back about two decades when the sector was in the throes of an MNC invasion with biggies such as SKK, Jotun, Sherwin-Williams, KCC, Nippon, Hempel and RPM investing in manufacturing plants and hiring talent. “Even then, there was a lot of talk about technol-